

In the first tier, a macro scenario of the industry, the players involved, and the value chain was understood.

The second tier of the broad industry analysis focused on more objective topics such as market size, pricing power, and government regulations. With this, an understanding of the structure of the industry being analysed was understood.

In the third tier, we determine the industry profitability based on the influence of the industry, participants, suppliers and customers.

- This tier is built around the concept of Five Competitive Forces for Industry Analysis suggested by Michael Porter.
- This tier focuses on the ability of an industry to retain its profitability based on the competitive forces acting on it.

Porter's Five Forces is a model that identifies and analyses the five competitive forces that shape every industry, which help **determine an industry's weaknesses and strengths**. It is a business analysis framework that helps explain why different industries are able to sustain different levels of profitability.^[25]